25STCV21182 25STCV21182

County: los-angeles

Division: Civil Law and Motion

Department: 309

Hearing date: 2026-07-22

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Case Number: 25STCV21182 Hearing Date: July 22, 2026 Dept: 309

Superior Court of California

County of Los
Angeles

DEPARTMENT 17

TENTATIVE RULING

CASSIE ELZY

vs.

KIDDER MATHEWS INC., et al.

Case
No.: 25STCV04420

Hearing Date: July 22, 2026

Plaintiff's
motion to compel Kidder Mathews of California to comply with Plaintiff's RFPs (Set One) No. 48 is GRANTED. Production is due within 10 days of entry of order. Defendant is sanctioned, jointly and severally with counsel, $2,800, due within 20 days of entry of order.

On 2/14/2025,
Plaintiff Cassie Elzy (Plaintiff) filed suit against Kidder Mathews Inc. and

Kidder Mathews of California (collectively, Defendants), alleging: (1) sex/pregnancy discrimination; (2) violation of the Pregnancy Disability Leave Act; (3) retaliation; (4) CFRA interference; (5) failure to provide reasonable accommodation; (6) failure to provide reasonable accommodation; (7) failure to prevent discrimination and retaliation; (8) wrongful termination; (9) failure to timely pay wages; and (10) failure to reimburse business expenses.

On 6/4/2026, Plaintiff moved to compel Defendant Kidder Mathews of California Inc. (KMCI) to comply with Plaintiff's Requests for Production (RFPs) (Set One).

Discussion

Plaintiff seeks an order compelling KMCI to produce all outstanding documents in response to Plaintiff's RFPs (Set One), No. 48, including companywide income statements, companywide balance sheets, cash flow statements, budgets, agreements with Defendant Kidder Mathews Inc. (KMI) regarding corporate administrative charges and distributions, detail of corporate administrative and other overhead charges and distributions, consolidating and consolidated income statements, consolidating and consolidated balance sheets, audited financial statements, and any other documents evidencing Defendants' financial condition, from 2020 to the present.

In support, Plaintiff contends: "RFP1, No. 48 seeks all documents that refer, relate, or pertain to Defendant KMCI's contention that Plaintiff was terminated because of an alleged "economic hardship." Despite representing in its discovery response that it had "conducted a diligent search and reasonable inquiry and has produced all non-privileged responsive documents in its possession, custody, and control," Defendant KMCI produced only fourteen (14) pages of cherry-picked documents limited to its Greater Los Angeles Region – a region in which Plaintiff did not even work – and Plaintiff's Irvine office. And despite representing that company-wide financial issues contributed to the reason that Plaintiff was terminated in its discovery responses and recent motion for summary judgment, Defendant KMCI has refused to produce all of the relevant financial documents for the company." (Motion, 3: 6-15.)

The

Court agrees that Defendant's production is incomplete and that documents evidencing KMCI's financial condition is directly relevant to the action.

Based
on the foregoing, Plaintiff's motion to compel KMCI to comply with Plaintiff's RFPs (Set One) No. 48 is granted. Production is due within 10 days of entry of order. Defendant is sanctioned, jointly and severally with counsel, $2,800 ($350/hr x 8 hr), due within 20 days of entry of order.

It is so ordered.

Dated: July
, 2026

Hon. Jon R.
Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must send an email to the court at by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative.
If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.

Superior Court of California

County of Los Angeles

DEPARTMENT
309

TENTATIVE RULING

EUGENE YORDANOV, et al.

vs.

MICHAEL STAUMIETIS, et al.

Case
No.: 25STCV21182

Hearing Date: July 22, 2026

Moving
Defendants' demurrer is OVERRULED. Moving Defendants' motion to strike is DENIED.

On
7/17/2026, Plaintiffs Eugene Yordanov and 0928285 (collectively, Plaintiffs) initiated this action. On 12/2/2025, Plaintiffs filed a first amended complaint (FAC) against Michael Straumietis, Advanced Nutrients LTD, Advanced Nutrients US, LLC, Big Buds, LLC, Rosebud Magazine, LLC, Canadian Soiless Wholesale LTD, Applied Plant Science, Inc., American Chemical Technologies, LLC, Yellow Panda Solutions LTD, Canadian Chemical Technologies, LTD . (No. BC0954095), Canadian Chemical Technologies LTD (No. BC0869567), Plant Labs LLC, Advanced Pharmaceuticals LTD, Applied Science LTD, and Abercrombie Holdings, LTD. alleging: (1) breach of contract; (2) breach of covenant of good faith and fair dealing; (3) fraud; (4) fraudulent transfer; (5) declaratory relief; and (6) unfair business practices.

On
1/5/2026, Defendants Michael Staumietis, Eugene Yordanov, and 0928285 BC LTD (Moving Defendants) demurred to the second, third, fourth, and sixth causes of action. Moving Defendants also move to strike portions of the FAC.

Discussion

Moving Defendants argue that
the second, third, fourth, and sixth causes of action are insufficiently pled.

As for the second cause of action, Defendants contend that the second cause of action for breach of the implied covenant of good faith and fair dealing is duplicative. The Court disagrees. An implied covenant claim is only duplicative if "the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action[.]" (Careau & Co. v. Sec. Pac. Bus. Credit, Inc. (1990) 222 Cal.App.3d 1371, 1395.) Here, the allegations go beyond a contention that Straumietis defaulted on his monthly payment obligations. For example, Plaintiff alleges that Sraumietis failed to make more than three consecutive monthly Installment Payments, then moved out his home and disappeared without providing Plaintiffs notice of his new address, as required under Section 17 of the MOS and Section 7.3 of MEPA. (FAC ¶¶ 82–8.) Accordingly, Plaintiffs have alleged sufficient facts to show that the claim is not merely duplicative of the breach of contract claim.

As for the third cause of action, Defendants argue that the fraud claim is barred by the economic loss rule. Under the economic loss rule, "conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort." (Erlich v. Menezes (1999) 21 Cal.4th 543, 551.) "Quite simply, the economic loss rule 'prevent[s] the law of contract and the law of tort from dissolving one into the other.' " (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.App.4th 979, 988.) Here, Plaintiff alleges damages beyond economic damages contemplated by the Settlement Agreement. (See e.g. FAC ¶ 86.)

As for the fourth cause of action, Defendants argue that "Plaintiffs neither set forth the factual basis for their assertion that there has been even one single transfer of money or equity, nor establish through factual allegations how any of those unidentified and uncertain transfers demonstrates fraudulent intent on the part of Mr. Straumietis." (Demurrer, p. 13:11–16.) The Court disagrees and finds that Plaintiff's allegations are specific enough to satisfy the pleading requirements for fraud. As noted by Plaintiffs, they "cannot provide the dates and amounts of specific transactions that occurred after they executed the Settlement Agreement and lost access to Nutrient Companies' accounts. That information lies exclusively with Straumietis and the entity defendants." (Opp., 11:23-12:2.)

As for the sixth cause of action, Defendant argues that this claim is insufficiently pled because the Settlement Agreement was not a “business act” or “business practice” within the UCL. However, the FAC expressly alleges that the Nutrients Companies are “the top manufacturer of cannabis-specific nutrients in the world” generating more than $100 million in annual sales, and that Straumietis is their alter ego. (Demurrer, p. 14:1–4; FAC ¶¶ 21, 39.) Further, the FAC provides detailed allegations regarding the business relationship between Plaintiffs on the one hand, and Straumietis on the other. (FAC ¶¶ 22–43, 52–65.) Plaintiffs allege that Straumietis abused that relationship, resulting in his unlawful conversion of Plaintiffs’ interest in the Nutrients Companies and the profits derived therefrom, while simultaneously refusing to honor his contractual obligation to pay Plaintiffs the full $16 million they are owed. (FAC ¶¶ 55–95.) This is sufficient to show unfair, unlawful, or fraudulent business practices at the pleadings stage.

Based on the foregoing, Moving Defendants’ demurrer is overruled.

Motion to Strike

Moving Defendants move to strike Plaintiffs’ prayer for punitive damages, the alter ego allegations, and other irrelevant allegations.

As set forth above, the Court overruled the demurrer. Accordingly, Plaintiffs have necessarily alleged facts which could show malice, oppression, or fraud.

As for the alter ego allegations, the Court finds these allegations to be sufficient at the pleadings stage.

Finally, the Court declines to strike the allegations deemed “immaterial” or “scandalous” by Moving Defendants.

Based on the

foregoing, Moving Defendants’ motion to strike is denied.

It is so ordered.

Dated: July
, 2026

Hon. Jon R.
Takasugi

Judge of the
Superior Court

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